

LIQUIDITY

Advanced Concepts & Trading

DOJO GAINS - Mentorship

Liquidity Review

- BSL (Buy-Side Liquidity): Above highs - stop losses of shorts
- SSL (Sell-Side Liquidity): Below lows - stop losses of longs
- Institutions need liquidity to fill large orders
- They 'hunt' retail stops before real moves
- This session: Advanced liquidity concepts

Internal vs External

INTERNAL LIQUIDITY

FVGs, Order Blocks, Imbalances

Inside the current range

Where price retraces TO

EXTERNAL LIQUIDITY

Highs, Lows, Equal H/L

Outside the current range

Where price reaches FOR

Price moves from internal to external liquidity

Identifying Liquidity Pools

- Equal Highs/Lows: Multiple touches = More stops
- Trendline touches: Stops placed along trendlines
- Previous Day/Week High and Low
- Session Highs and Lows (Asian, London, NY)
- Psychological round numbers
- Old untested highs/lows (virgin liquidity)

More touches = Bigger pool

Liquidity Grab vs Sweep

LIQUIDITY GRAB

Quick wick through level

Immediate reversal

Clean rejection

LIQUIDITY SWEEP

Candle closes beyond level

May consolidate before reversing

Deeper penetration

Both are valid - watch for the reversal signal

Inducement (The Trap)

- Inducement = Minor liquidity used to trap traders
- Creates false breakout/breakdown
- Retail sees 'breakout' and enters
- Smart money fades the move
- The 'obvious' move is usually the trap
- Look for inducement BEFORE key levels

If it looks too easy, it's a trap

Liquidity Voids

- Liquidity Void = Area price moved through quickly
- Similar to FVG but can span multiple candles
- Shows where there's 'no resistance'
- Price often returns to fill these voids
- Mark large impulsive moves as potential voids
- Trade the retracement back into the void

Voids get filled

Trading Liquidity Sweeps

- 1. Identify key liquidity pool (equal highs/lows)
- 2. Wait for price to sweep the level
- 3. Look for immediate reversal signal
- 4. Confirm with BOS or strong rejection candle
- 5. Enter opposite direction of sweep
- 6. Target opposite liquidity pool

Sweep + Reversal = Entry

Daily Liquidity Mapping

- Mark PDH/PDL (Previous Day High/Low)
- Mark PWH/PWL (Previous Week High/Low)
- Mark Asian session H/L
- Identify equal highs/lows
- Note any untested old highs/lows
- Update as new levels form

Key Takeaways

- Internal liquidity = FVGs, OBs (retracement zones)
- External liquidity = Highs/Lows (targets)
- Equal H/L = Strongest liquidity pools
- Inducement traps retail before real move
- Sweep + Reversal = High probability entry
- Always know where liquidity sits before trading

Follow the liquidity, find the money